



Platinum
Solution Partner

Modern ESM for Public Sector

Powered by Atlassian

Public Sector ESM Trends | May 2025 Edition

Editorial Note

Welcome to the inaugural edition of our Public Sector ESM Newsletter. Each month, we'll spotlight key developments in Enterprise Service Management (ESM) across U.S. federal and SLED (State, Local, and Education) markets—highlighting Atlassian's rapidly growing role in this ecosystem. In this edition, we explore how the public sector is evolving from legacy-heavy ITSM stacks to agile, secure, and cloud-first ESM solutions, with Atlassian leading the transformation.

What's Inside This Edition

- From Legacy to Cloud: Why Agencies Are Shifting to Modern ESM
- Atlassian's Public Sector Momentum: May Updates
- Competitive Market Share Insights
- Government Policy & Industry News (May 2025)
- Visual Highlights & What's Next

From Legacy to Agile: The Modern ESM Shift

Legacy Systems and Pain Points: Historically, public sector organizations have relied on on-premise systems such as:

- IBM Tivoli
- HP Service Manager
- CA Unicenter Service Desk
- BMC Remedy

While foundational, these platforms present challenges:

- Limited AI, automation, and DevOps integration
- High upgrade and maintenance costs
- Rigid, siloed setup unsuitable for cross-department use

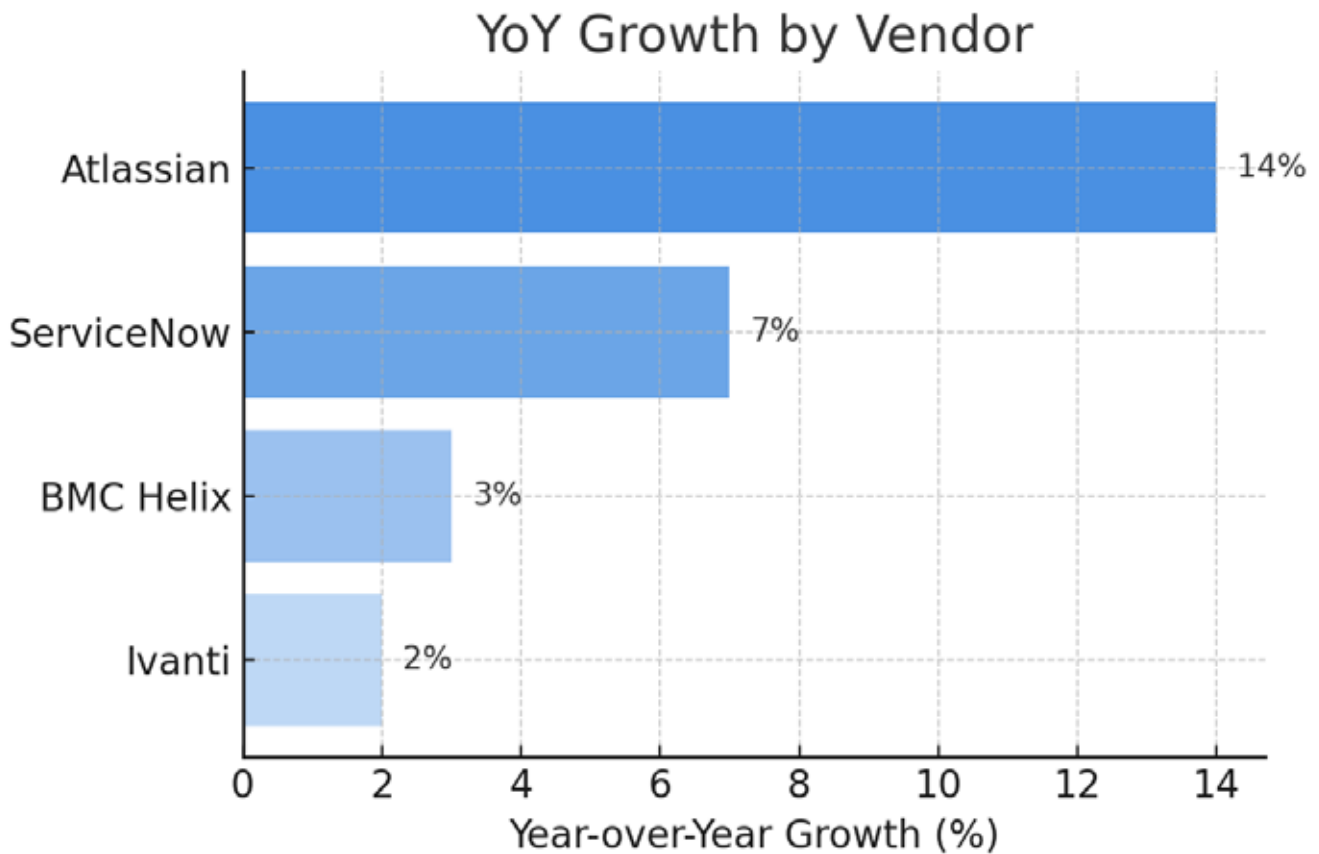
Current Shift: Government agencies are prioritizing cloud-first, modular, and scalable platforms that offer:

- FedRAMP/StateRAMP-secure automated AI service delivery.
- Unified self-service and omni-channel request management
- Integrated with development, collaboration, and identity platforms

Why Atlassian is Key:

- Cloud-native, agile, modular
- Deep DevSecOps alignment
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- Deep DevSecOps alignment

Atlassian's Rise in Public Sector ESM



Atlassian grew 2x faster than ServiceNow in public sector ESM adoption YoY, driven by GovCloud uptake.

FedRAMP Authorization: In March 2025, Atlassian achieved FedRAMP Moderate Authorization for its Government Cloud, marking a major milestone in public sector readiness. It allows federal and SLED organizations to adopt Jira Service Management (JSM), Confluence, and associated apps in a secure, compliant cloud.

May 2025 Product Updates Impacting Public Sector Teams:

- Excel-like Bulk Issue Editor: JSM users can now manipulate and export data natively useful for auditors and public sector analysts.
- AI-enabled Change Risk Assessments: Reduce service disruptions with smarter, automated change evaluations

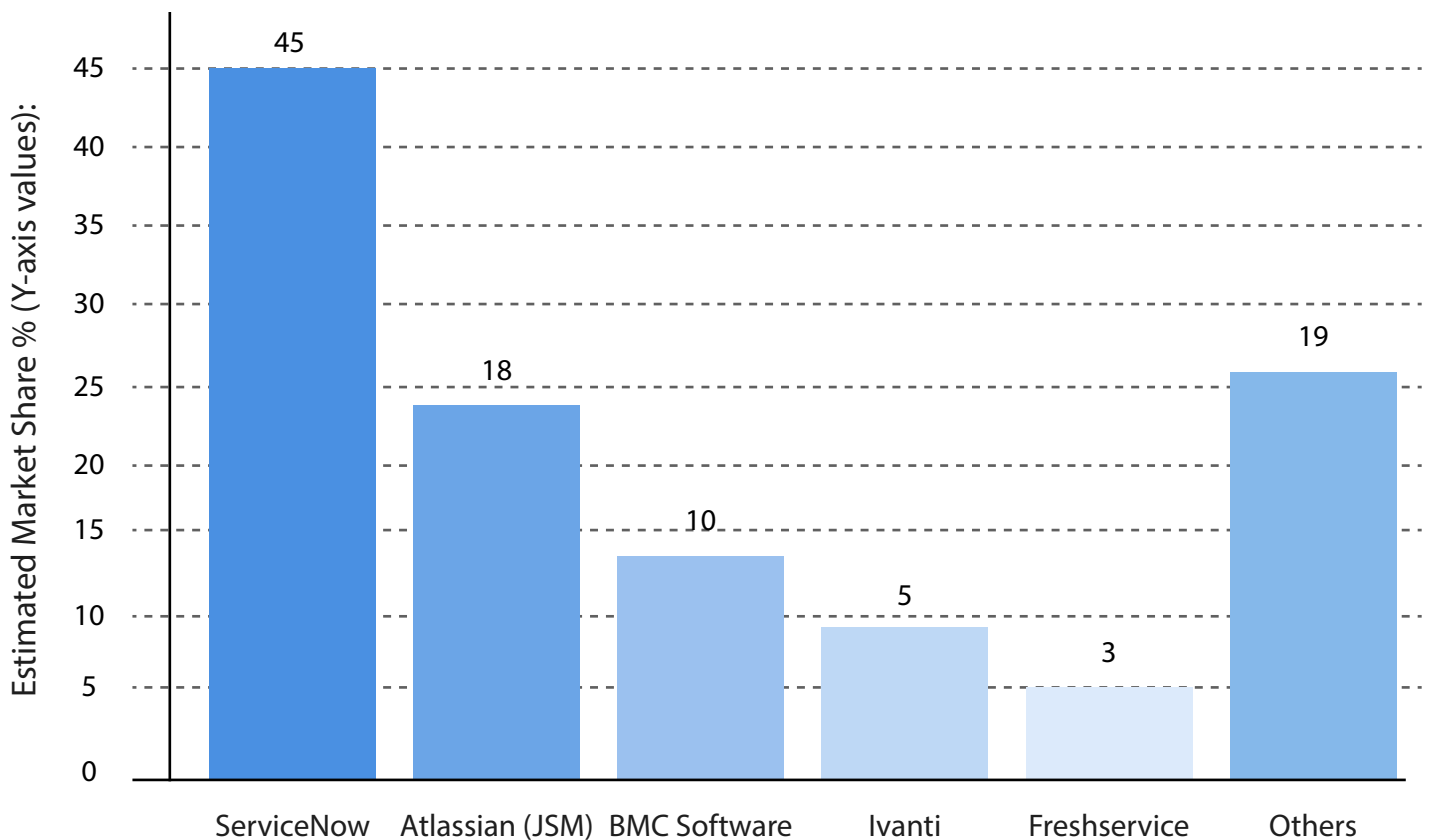
- HR and Facilities Templates: Ready-to-deploy JSM portals for onboarding, procurement, and operations
- Assets Automation Enhancements: Simplifies configuration management and auto-discovery in large institutions

Strategic Partnerships: Carahsoft and Atlassian have expanded procurement pathways, making it easier for agencies to purchase via GSA Schedules and state-level contracts.

Competitive Positioning: While ServiceNow remains the largest vendor by revenue (~45% global ITSM share), Atlassian has emerged as the fastest-growing provider in the U.S. public sector due to:

- Lower TCO
- Developer-centric extensibility
- Transparent licensing

Estimated market shares in the U.S. Federal and SLED ESM sectors as of mid-2025



This chart visualizes the current market share distribution among leading ESM vendors, with Atlassian rapidly gaining ground against legacy players.

Monthly Roundup – May 2025

Headline	Summary	Source
Atlassian Migration: Major University Achieves 30% Efficiency Gains	A large university system successfully migrated to Atlassian's Jira Service Management, resulting in a 30% improvement in operational efficiency.	Empyra Case Study
ServiceNow releases AI accelerators	New industry-specific AI modules released for GovCloud Pro edition	Service now
JSM Assets automation updated	Easier data ingestion and discovery agent support for public institutions	atlassian.com/blog
Carahsoft adds Atlassian on more state co-ops	Expands SLED accessibility for procurement	carahsoft.com

Policy Moves & Industry Events

Headline	Summary	Source
Atlassian Reports Strong Q3 FY2025 Results	Atlassian's \$1.357B Q3 revenue (+14% YoY) was driven by cloud and public sector demand. Growth highlights Jira Service Management's expanding role in secure, compliant ESM.	Zacks Investment Research
GAO Endorses Remote Work in Federal Agencies	GAO confirms remote work boosts efficiency. Atlassian tools like Confluence and JSM empower hybrid teams across IT and operations.	Federal News Network
Empower AI on Data Integration in ITSM Automation	Empower AI stresses unified data for effective automation—an area where Atlassian's open ecosystem and flexible APIs deliver strong value.	GovConWire
OMB Issues New AI Guidance	The Office of Management and Budget released two memos (M-25-21 and M-25-22) updating federal AI policy, encouraging faster adoption of AI with strong governance and public trust emphasis. This aligns with Atlassian's AI-ready ESM platform and supports agencies using JSM's automated, compliance-first features.	brookings.edu

Looking Ahead: What to Expect in June 2025 Edition

- Cloud Migrations in Government: Timelines, Strategies & Success StoriesCoverage of StateRAMP alignment initiatives.
- Lessons from Legacy: Top challenges agencies face when migrating from BMC, IBM, and ServiceNow.
- Clovity in Action: Real-world examples of accelerating public sector cloud migrations.
- From Atlassian: Key insights and takeaways from the upcoming Migrations Campaign.

To subscribe to future editions or explore how Atlassian can power your agency's transformation, contact us at sales@clovity.com or visit clovity.com/atlassian.